Phase I −− Predicting individual excess returns with the cycle factor

Country	cf (2Y)	R2 (2Y)	cf (5Y)	R2 (5Y)	cf (10Y)	R2 (10Y)
Belgium	0.83 (4.88)	0.272	1.16 (4.64)	0.302	1.01 (3.96)	0.251
Germany	0.75 (3.70)	0.203	1.19 (4.16)	0.265	1.05 (3.81)	0.228
France	0.59 (2.58)	0.059	1.19 (4.11)	0.134	1.22 (4.84)	0.149
Italy	0.81 (3.83)	0.316	1.15 (4.05)	0.278	1.04 (3.93)	0.232
Netherlands	0.79 (4.77)	0.302	1.19 (5.51)	0.358	1.03 (4.57)	0.282
Switzerland	0.61 (1.02)	0.038	1.34 (1.96)	0.092	1.05 (1.61)	0.059
UK	0.74 (3.71)	0.199	1.19 (4.28)	0.269	1.07 (3.62)	0.229
Sweden	0.86 (3.87)	0.245	1.10 (3.34)	0.218	1.04 (3.24)	0.205
Canada	0.87 (3.85)	0.268	1.14 (4.48)	0.316	0.99 (3.76)	0.271
Japan	0.57 (1.97)	0.126	1.23 (2.60)	0.167	1.20 (3.20)	0.203
US	0.75 (3.35)	0.233	1.14 (4.33)	0.314	1.11 (5.20)	0.347
G10 panel	0.78 (14.32)	0.253	1.16 (17.25)	0.271	1.06 (15.44)	0.243

LHS: duration−standardized individual excess return rx^(n)/n, n in {2,5,10} years; regressor: the local cycle factor CF (Eq 18).
Cells: cf loading (Newey−West HAC t−stat, 12m overlap); R2 is the in−sample fit. 'G10 panel' adds country fixed effects.
Mirrors Cieslak−Povala (2015), Table 4, Panel A: a single factor prices the whole curve, with loadings flat−to−rising in maturity.